Division 296 *(tax on growth of individual superannuation balances greater than $3 million tax)* **as an Example of Microeconomic Reform**

Nature and Implementation

Nature of Division 296:

- Division 296 is a legislative reform introduced by the Australian Government to modify the taxation of superannuation earnings.
- It imposes a 30% concessional tax rate (instead of the standard 15%) on earnings from individual superannuation balances exceeding $3 million.
- This policy targets the highest 0.5% of super holders and aims to address inequities in the superannuation system, where high-income individuals disproportionately benefit from tax concessions.
- The reform is designed to improve the equity, sustainability, and efficiency of the retirement income system.

Implementation:

- Division 296 is set to apply from 1 July 2025.
- The Australian Taxation Office (ATO) will use a formula to calculate the proportion of earnings on balances above $3 million and levy the 30% tax on that portion.
- It does not cap contributions (how much an individual can put into super) or balances but instead alters the tax treatment of earnings for very large superannuation accounts.
- Individuals subject to the tax will receive an ATO assessment and can choose to pay from their super fund or from personal funds.
- The reform is expected to raise approximately $2.3 billion over four years (according to Treasury estimates).
- It complements broader government efforts to reduce structural budget pressures and improve intergenerational equity.

1. Economic Growth

- Division 296 imposes a 30% tax rate on earnings from super balances exceeding $3 million, compared to the concessional 15% rate for lower balances.
- This affects around 80,000 individuals (0.5% of superannuation holders), freeing up approximately $2.3 billion in revenue over 4 years (Treasury, 2023).
- Government can reallocate savings to productive investment (e.g. infrastructure, education), boosting aggregate supply and long-term growth.
- Reduces inefficient capital hoarding in low-risk super funds by high-wealth individuals, encouraging capital to flow to more productive sectors.
- Improves fiscal sustainability by reducing long-term super tax concessions estimated at $52 billion annually by the Grattan Institute.

2. Distribution of Income and Wealth

- Superannuation is a major vehicle for wealth accumulation in Australia; the top 10% of holders control around 66% of super assets (ABS, 2022).
- Division 296 corrects the regressive structure of tax concessions, where high-income earners disproportionately benefit.

- Supports vertical equity by applying higher taxes only to balances over $3 million – median super balances are just $150,000 for men and $130,000 for women (APRA, 2023).
- Targets only the top 0.5% of account holders while leaving the majority unaffected, preserving fairness and public support.
- Helps address intergenerational wealth inequality, as excessive tax-free wealth transfer through superannuation is curbed.

3. Full Employment

- Revenue from Division 296 can fund labour-intensive sectors (e.g. health, aged care, education), creating jobs and increasing participation. Example: redirecting $500 million annually to education could support thousands of teacher and support staff roles.
- Low-income earners tend to spend a higher proportion of income, so redistributive measures like this can boost consumption-driven demand and employment.
- By improving fiscal space, the government avoids needing contractionary tax hikes or spending cuts that could dampen employment.

4. Price Stability

- Division 296 is a targeted, supply-side measure with minimal short-run inflationary effects.
- Does not increase disposable income or consumer demand; rather, it reduces concessional tax benefits for a narrow, high-wealth group.
- Supports price stability by improving budget discipline, which helps the RBA by easing fiscal pressure in periods of inflation.
- Frees up funds for structural reforms that enhance supply capacity, e.g., affordable housing or childcare subsidies that reduce wage pressures.

5. Environmental Sustainability

- Although not directly targeting environmental issues, Division 296 generates new government revenue that could fund climate resilience and transition policies. Example: $2.3 billion saved could be used for climate grants, green infrastructure, or subsidies for renewable energy investments.
- Reducing high-end super tax concessions aligns with long-term planning and intergenerational responsibility, freeing fiscal capacity for sustainable priorities.
- Supports fiscal capacity to meet climate obligations under Australia's net-zero 2050 commitment without increasing debt.